

Wärtsilä Oyj Abp

WRT1V.HE • NASDAQ Helsinki • Industrial - Machinery • Finland

RECOMMENDATION

SELL

12-month horizon

CURRENT PRICE

36.12 EUR

as of report date

TARGET PRICE

30.00 EUR

12-month fundamental

IMPLIED UPSIDE

-16.9%

vs. current price

MARKET CAP

EUR 21.3 bn

shares × price

ENTERPRISE VALUE

EUR 19 bn

mcap + net debt

P/E 2026E

27.3×

EV/EBITDA 2026E

15.7×

FCF YIELD 2026E

3.3%

DIVIDEND YIELD
2026E

1.4%

NET DEBT / EBITDA
2026E

-1.9×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

This page is the institutional summary. Read it in 30 seconds — the rest of the report is the supporting evidence.

RECOMMENDATION SELL 12-month horizon	TARGET PRICE 30.00 EUR 12-month fundamental	CURRENT PRICE 36.12 EUR as of report date	IMPLIED UPSIDE -16.9% vs. current price
MARKET CAP EUR 21.3 bn shares × price	ENTERPRISE VALUE EUR 19 bn mcap + net debt	P/E · EV/EBITDA 2026E 27.3x · 15.7x forward forecast basis	FCF · DIV YIELD 2026E 3.3% · 1.4%



01 **Mathematical requirement for aggressive growth**

The EUR 19.0 billion enterprise value rests on an aggressive 20.7x multiple that requires the Energy division to grow steady-state earnings rapidly to justify the current price.

20.7x EV/EBIT

02 **Impending hardware demand cliff**

The Energy segment accounts for EUR 7.77 billion of the group valuation, operating at an exceptional 16.5 percent margin, but an impending hardware demand cliff could trigger significant multiple contraction.

16.5% margin

03 **Steep EV decline if multiple normalizes**

If the group multiple reverts to 12x, enterprise value would fall steeply to EUR 11.0 billion, though a EUR 2.25 billion cash pile provides strong equity support.

11.0B EUR EV

**THESIS
BREAKER**

Hyperscaler demand persists after 2028 and maritime shipping retrofit activity sustains peak margins, preventing a cyclical contraction in earnings.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

24+ months of monthly closes with the 12-month target overlaid. Quick facts pull from market data.



VALUE BREAKDOWN · PART 1

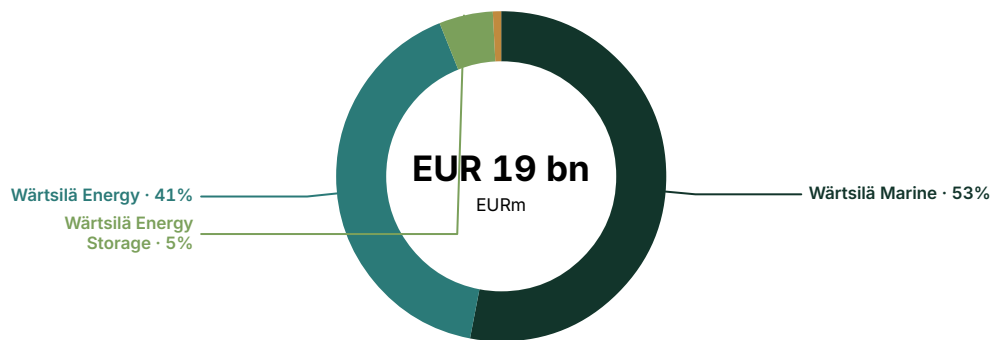
Enterprise - value allocation by value pool

04

Each pool's share of the group's enterprise value, with revenue / EBIT / EV economics.

Enterprise value by pool

EUR millions



SEGMENT ECONOMICS

	REVENUE	REV %	COMP. EBIT	EBIT %	EV	EV %	ARCHETYPE
Wärtsilä Marine	3,510	50.0%	480	52.3%	10,080	52.9%	Profit engine
Wärtsilä Energy	2,246	32.0%	370	40.3%	7,770	40.8%	Scaling
Wärtsilä Energy Storage	772	11.0%	50	5.4%	1,000	5.3%	Emerging option
Wärtsilä Portfolio Business	491	7.0%	18	2.0%	189	1.0%	Restructuring

VALUE BREAKDOWN · PART 2

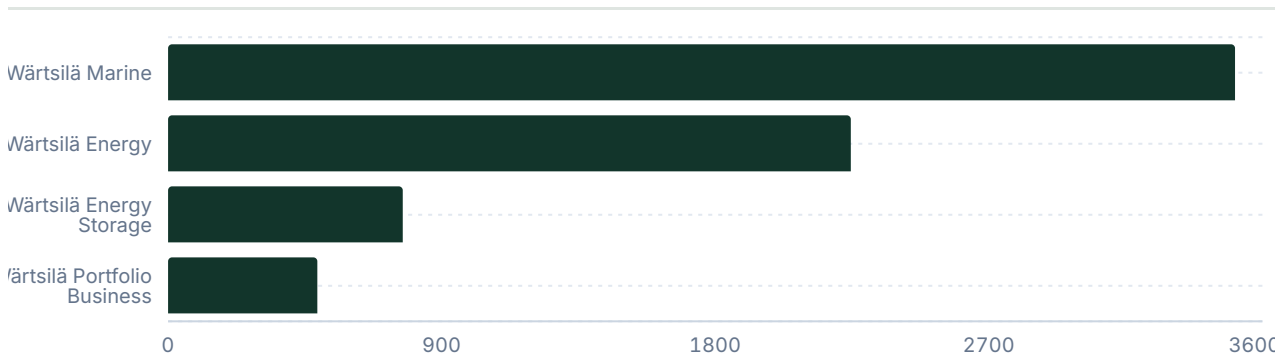
05

Net sales and EBIT by pool

Two horizontal bar charts showing where revenue and earnings actually come from.

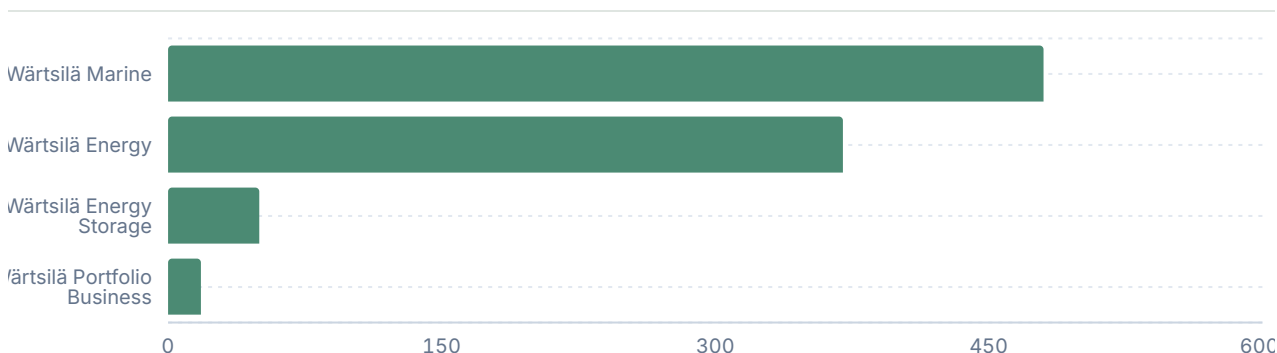
Net sales by pool

EUR millions, latest reported



Comparable EBIT by pool

EUR millions, latest reported



INTERPRETATION

Wärtsilä's valuation rests on two primary economic engines across distinct end markets, sharing a common technological core. The market assigns nearly 94% of the group's EUR 19.0 billion Enterprise Value to Wärtsilä Marine and Wärtsilä Energy, driven by structural tailwinds in maritime decarbonization and grid-balancing power infrastructure.

RECOMMENDATION

06

Why we land on the call we do

The supporting prose, the rating decision, and the three load-bearing reasons.

The stock is currently trading at 36.12 euros, and the market incorrectly pricing peak capacity additions into perpetuity supports a definitive SELL view. We set a conservative target price of 30.00 euros, implying roughly 17 percent downside over the next 12 months.

Wärtsilä's EUR 21.2 billion market capitalization rests on an aggressive 20.7x forward EV/EBIT multiple, pricing its engine business as a non-cyclical transition compounder. The EUR 19.0 billion enterprise value is supported by two structural volume drivers: maritime decarbonization retrofits and off-grid hyperscaler AI data center buildouts.

The market misprices Wärtsilä by valuing peak capacity additions as if they will persist forever. To justify the 20.7x multiple without contraction, steady-state Energy EBIT must grow quickly to EUR 450 million and Marine margins must reach 15%. The explicit thesis breaker is an off-grid hardware cliff after 2028: if hyperscaler demand evaporates and maritime freight markets contract, multiple contraction toward a 12x–14x standard would violently collapse EV to EUR 11.0 billion.

SELL

TARGET PRICE

30.00 EUR

CURRENT PRICE

36.12 EUR

IMPLIED UPSIDE

-16.9%

12-MONTH VIEW

The market misprices Wärtsilä by valuing peak capacity additions into perpetuity, risking severe multiple contraction once hardware demand normalizes.

MAIN DRIVER

Aggressive EV/EBIT multiple assumes permanent structural growth.

MAIN RISK

Hardware demand cliff post-2028 causing multiple contraction.



01 Mathematical requirement for aggressive growth

The EUR 19.0 billion enterprise value rests on an aggressive 20.7x multiple that requires the Energy division to grow steady-state earnings rapidly to justify the current price.

20.7x EV/EBIT

02 Impending hardware demand cliff

The Energy segment accounts for EUR 7.77 billion of the group valuation, operating at an exceptional 16.5 percent margin, but an impending hardware demand cliff could trigger significant multiple contraction.

16.5% margin

03 Steep EV decline if multiple normalizes

If the group multiple reverts to 12x, enterprise value would fall steeply to EUR 11.0 billion, though a EUR 2.25 billion cash pile provides strong equity support.

11.0B EUR EV

THESIS BREAKER

Hyperscaler demand persists after 2028 and maritime shipping retrofit activity sustains peak margins, preventing a cyclical contraction in earnings.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The mental model behind every pool deep-dive that follows.

Wärtsilä's valuation is defined by two primary economic engines across distinct end markets with a shared technological core: medium-speed reciprocating engines. The market allocates nearly 94% of the group's EUR 19.0 billion Enterprise Value to Wärtsilä Marine and Wärtsilä Energy. Both segments operate at robust double-digit EBIT margins and carry forward EV/EBIT multiples of approximately 21x. This pricing signals the market views Wärtsilä not as a cyclical industrial manufacturer but as a high-quality transition compounder benefiting from structural tailwinds in maritime decarbonization and grid-balancing power infrastructure.

The translation from operating economics to equity value is heavily buffered by the balance sheet. Wärtsilä is projected to hold EUR 2.25 billion in net cash by 2026. Because of this fortress balance sheet, the group's enterprise value is materially lower than its EUR 21.2 billion market capitalization. Equity investors are effectively purchasing the operating assets at a discount to the headline equity multiple, insulated by a deep liquidity pool.

The analytical challenge is the sustainability of the underlying economic output. In Marine, reported earnings are increasingly insulated by high-margin long-term service agreements, but the segment must still navigate the volatile shipbuilding cycle. In Energy, recent earnings have been propelled by a sudden, massive influx of power plant orders to bypass congested electric grids for U.S. data centers. The core valuation question is whether these data center orders represent a permanent expansion of the addressable market or a multi-year capacity burst that will leave Wärtsilä with elevated fixed costs and shrinking volumes.

ANALYTICAL ANCHOR

A EUR 2.25 billion net cash balance sheet heavily buffers the translation from operating economics to equity value, insulating shareholders.

08

Wärtsilä Marine

Pool deep dive — current_profit_engine.

Wärtsilä Marine accounts for exactly half of 2026E net sales (EUR 3.51 billion) and a disproportionate 52.3% of group EBIT (EUR 480 million), achieving a 13.7% EBIT margin. The market assigns EUR 10.08 billion in enterprise value, nearly 53% of the group total, by applying a ~21x forward EBIT multiple. That multiple is consistent with high-quality industrial compounds that have strong aftermarket service moats. Confidence in current earnings is high, but the multiple embeds aggressive terminal value assumptions.

The market awards a premium valuation because Marine has shifted from cyclical equipment vendor to recurring service provider. Lifecycle services and aftermarket sales now represent the dominant share of revenue and the vast majority of gross profit. Investors price the segment on the premise that the massive installed base needs perpetual maintenance, parts, and software upgrades, establishing a cash flow floor that protects the group even if global shipyard orders collapse.

The global marine propulsion engine market is being forced to change by regulatory mandates, most notably the IMO's Net Zero Framework. Shipowners must upgrade existing vessels with dual-fuel engines, methanol-capable injection systems, and carbon-capture-ready scrubbers. Wärtsilä leads the four-stroke medium-speed engine segment favored by cruise ships, ferries, and specialized offshore vessels.

Valuation is plausible but demanding. Marine is an exceptional, high-moat asset with superb cash flow, but priced for perfection. The 21x forward multiple leaves almost no margin for error if the decarbonization timeline is politically delayed or shipyard newbuild orders enter a deep freeze. The equity case hinges on the thesis that service revenues have decoupled from the shipping freight cycle.

WÄRTSILÄ MARINE FACT SHEET

CURRENT_PROFIT_ENGINE

2026 EV IMPLIED MULTIPLE
~21.0x EV/EBIT

EBIT MARGIN
13.7%

KEY MARKET TREND
Maritime Decarbonization

MAIN REVENUE DRIVER
High-margin LTSA Services
& Retrofits

08

Wärtsilä Energy

Pool deep dive — scaling_current_business.

Wärtsilä Energy is the group's primary growth engine, projected to deliver EUR 2.24 billion in net sales (32.0% of the group) and EUR 370 million in EBIT (40.3% of the group) in 2026. The segment operates at a remarkably high 16.5% EBIT margin. The market allocates EUR 7.77 billion in enterprise value to this division, representing roughly 41% of the group total. The allocation relies on a 21x forward EV/EBIT multiple. Confidence in the current earnings base is medium, as the recent spike in profitability is heavily concentrated in a sudden wave of large-scale equipment orders.

Once viewed as a steady, low-growth supplier of peak-balancing plants, the market has repriced this segment violently over the past 18 months because it has become a direct beneficiary of the artificial intelligence boom. Hyperscaler data centers need massive power loads, and traditional grids have 5-to-7-year interconnection queues. Tech companies are ordering large off-grid natural gas plants as primary baseload power.

Wärtsilä's economic moat in this specific vertical stems from modularity. A hyperscaler building a 500MW data center campus rarely needs all 500MW on day one. Wärtsilä can install a block of 20MW engines, allowing the data center to power up incrementally. The concentration of these massive orders allows Wärtsilä to optimize its manufacturing and procurement, driving the segment's EBIT margin to an exceptional 16.5%.

Valuation is plausible but demanding. Energy has captured a lucrative, rapidly expanding market. But assigning a 21x multiple to peak margins means the market is extrapolating current data center panic-buying into a permanent linear growth trend. Any regulatory crackdown on data center emissions or cooling of AI infrastructure capex would break the thesis.

WÄRTSILÄ ENERGY FACT SHEET

SCALING_CURRENT_BUSINESS

2026 EV IMPLIED MULTIPLE
~21.0x EV/EBIT

EBIT MARGIN
16.5%

KEY MARKET TREND
Off-grid AI Data Center
Power

CAPACITY SOLD (U.S.)
>2.4 GW

08

Wärtsilä Energy Storage

Pool deep dive — emerging_option.

Wärtsilä Energy Storage, recently carved out as a standalone segment, is estimated to generate EUR 772 million in net sales in 2026 (11.0% of group) but only EUR 50 million in EBIT (5.4% of group), yielding a suppressed 6.5% margin. The market assigns EUR 1.0 billion in EV, about 5.3% of the group total, a model-based allocation that attaches a modest growth premium to an under-earning asset. Confidence in current earnings is low because of intense regulatory and supply chain pressures.

The market views Energy Storage as an unpriced call option on the global renewable transition. Solar and wind are intermittent, making grid-forming battery storage an existential necessity for modern grids. Wärtsilä has proprietary software (GEMS) to optimize complex storage networks, but the hardware economics are broken, preventing the software value from scaling profitably.

The commercial market structure in the U.S., the largest addressable market, is currently paralyzed. The IRA offers substantial tax credits, but they are heavily restricted by FEOC provisions and tariffs on Chinese battery imports. Integrators like Wärtsilä are caught between the high cost of compliant domestic batteries and developer resistance to higher project pricing.

The valuation is speculative. EUR 1.0 billion is a small fraction of the overall EV, but it implies a recovery that depends entirely on U.S. trade policy, not Wärtsilä's execution. If the U.S. battery supply chain localizes and cell costs decline, Wärtsilä can return to profitable integration.

WÄRTSILÄ ENERGY STORAGE FACT SHEET

EMERGING_OPTION

2026 EV ALLOCATION

EUR 1.0 Billion

EBIT MARGIN

6.5%

KEY CONSTRAINT

U.S. FEOC Tariffs

MARKET ASSET

GEMS software

CORE ANALYSIS · POOL DEEP DIVES

08

Smaller pools — grouped deep dives

Pools that don't warrant a full deep dive — a short fact strip each.

Wärtsilä Portfolio Business

restructuring_or_disposal_asset — 2026 EV Allocation: EUR 189 Million · EBIT Margin: 3.7% · Strategic Action: Active Divestment

CORE ANALYSIS · CROSS-POOL BRIDGE

09

Putting the pools back together

How the parts add up — and where the multiple has to come from.

The 2026 forecast is driven mechanically by exceptional operating leverage in the top two value pools. Wärtsilä Marine provides the massive, stable revenue anchor (EUR 3.51 billion) and the bulk of group profit, underpinned almost entirely by the contracted installed base and high-margin recurring service revenues. Wärtsilä Energy delivers the aggressive margin expansion, operating at an estimated 16.5% EBIT margin as massive off-grid data center equipment orders absorb fixed manufacturing costs and push group profitability to historic highs.

The bridge is highly credible for 2026 because these revenues are already locked into Wärtsilä's record-high order book. The financial risk lies strictly in the out-years (2027–2029). The forecast assumes that the combined 13%–16% margins in Marine and Energy represent a permanent structural improvement rather than a cyclical peak. The Portfolio Business is winding down, with pending divestments of Gas Solutions and Water & Waste expected to eliminate this revenue stream entirely.

The balance sheet is the most striking element of the financial structure. Wärtsilä generates intense free cash flow (projected at EUR 1.3 billion for the firm by 2025, operating cash flow over EUR 1.0 billion in 2026) against minimal capex (EUR ~319 million). This capital efficiency drives net debt to negative EUR 2.25 billion by 2026, leaving Wärtsilä with immense excess cash. That dynamic shapes the equity valuation: the market capitalization is backed by a massive liquidity cushion deployable for special dividends, aggressive share buybacks, or strategic M&A.

BRIDGE MECHANICS

Exceptional operating leverage in Marine and Energy generates over EUR 1.0 billion in operating cash flow against light capital spending, driving large net cash accumulation.

Under an enterprise value framework, Wärtsilä's operating business is priced at EUR 19.0 billion, which translates to a 20.7x forward EBIT multiple. For a heavy industrial manufacturer, a 20.7x multiple is exceptionally rich and rarely sustainable unless the business has structurally decoupled from capital-intensive cyclicity. The market is asserting that Wärtsilä has achieved this decoupling.

The valuation is defensible only if two market assumptions hold. First, Marine service revenues act as an unbreakable floor insulating earnings through the inevitable shipbuilding downturn. Second, the U.S. data center capacity buildout represents a permanent baseline of off-grid power demand, not a transient hardware spike. If current EBIT levels are a cyclical peak, a normalization of earnings coupled with multiple contraction (e.g., a reversion to a 14x industrial average) would cause severe EV destruction.

The equity bridge, however, provides a vital safety net. Wärtsilä's EUR 2.25 billion net cash position reduces the financial risk of the enterprise. Even if operating multiples contract, the installed base's cash generation capability ensures equity holders face no leverage or refinancing threats. The EUR 21.2 billion market capitalization is a blend of a richly priced operating asset and a deep, highly liquid balance sheet.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the report would look different if the call breaks the wrong way.

The scenario difference hinges almost entirely on the durability of the Wärtsilä Energy order book and Marine services pricing power. Upside: the off-grid data center market accelerates globally as European and Asian grids cannot meet hyperscaler timelines, while aggressive global carbon taxes force older vessels into early retrofits. Under these conditions, Wärtsilä would command a sustained 22x–24x multiple on growing earnings, pushing enterprise value toward EUR 24 billion. The deep net cash position passes this directly to equity holders, supporting a share price in the mid-40s.

The downside scenario is the thesis breaker. It assumes that the current wave of U.S. data center orders is a one-time capacity burst to secure immediate LLM training capabilities. After that infrastructure is built, hyperscalers shift to alternative power sources (fuel cells or advanced nuclear), leaving Wärtsilä Energy with an empty order book by 2028. At the same time, a severe global freight recession forces shipowners to defer maintenance, squeezing Marine service margins.

If earnings collapse and the market brutally compresses the EV/EBIT multiple to a traditional 12x–14x industrial range, enterprise value would plummet toward EUR 11 billion. Even in this downside, the EUR 2.2 billion net cash position protects the equity from total collapse, providing a floor value in the low-20s per share. There are no leverage risks because of the negative net debt.

BOTTOM LINE

The central debate is whether Wärtsilä is a cyclical machinery manufacturer at a temporary peak or a software-enabled infrastructure compounder permanently shielded from the economic cycle. At a 20.7x forward EV/EBIT multiple, the market has resolutely chosen the latter. The enterprise value relies on flawless execution and sustained margins, leaving little room for operational mistakes. The equity bridge, however, offers an undeniable margin of safety: a fortress balance sheet with EUR 2.25 billion in net cash.

FINANCIAL BRIDGE · PART 1

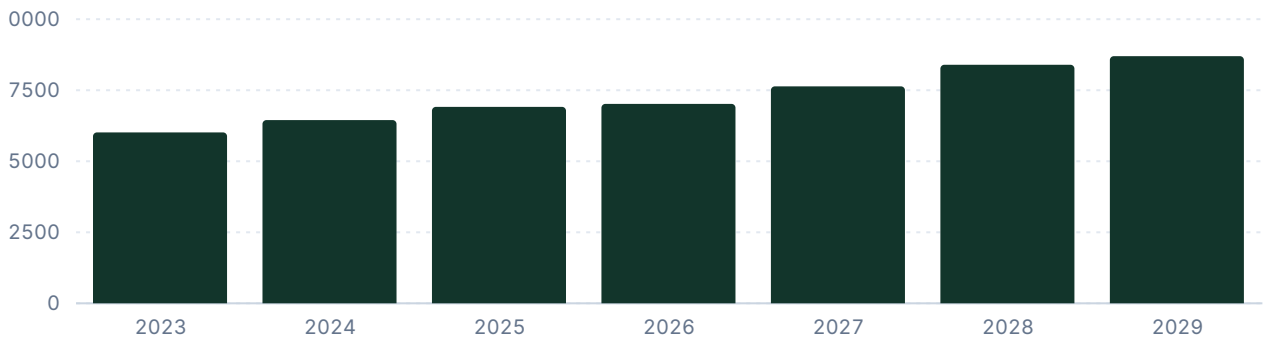
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Net sales, EBITDA / EBIT, EBIT margin

Group-level top-down view. Shaded bands show forecast periods.

Net sales

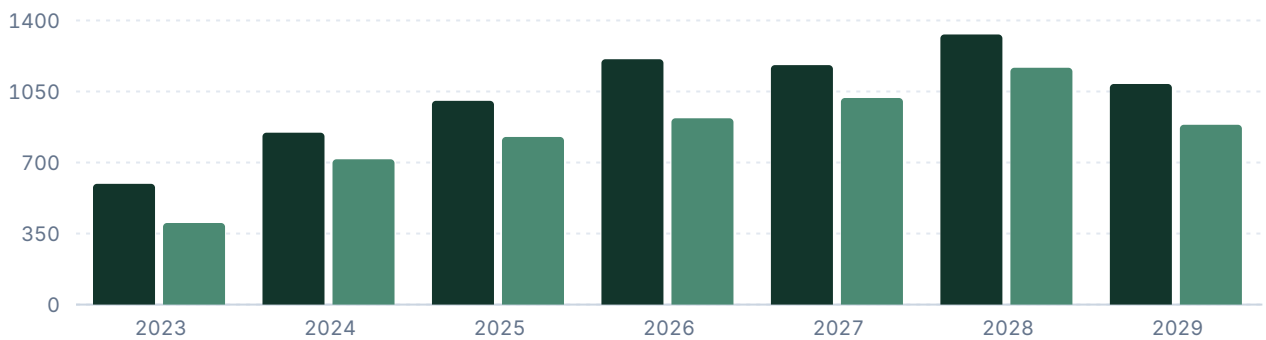
EUR millions



EBITDA & EBIT

EUR millions

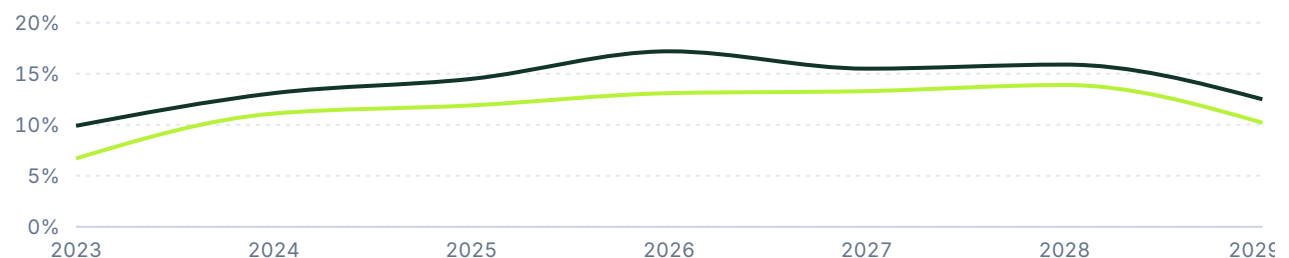
- EBITDA
- EBIT



EBIT and EBITDA margin

% of net sales

- EBITDA margin
- EBIT margin



FINANCIAL BRIDGE · PART 2

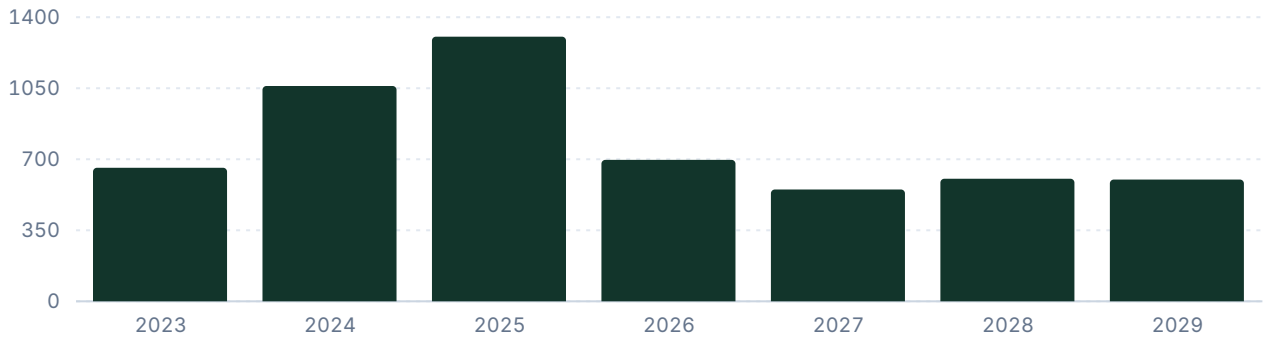
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

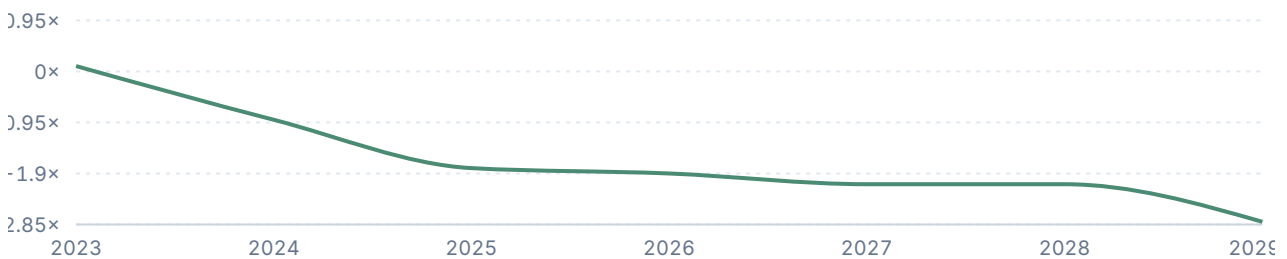
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	6,914	7,019	7,636	8,396	8,699
EBITDA	1,004	1,209	1,180	1,331	1,087
Comparable EBIT	826	918	1,018	1,167	886
Net Earnings	630	779	885	1,013	850
EPS (EUR)	1.1	1.3	1.5	1.7	1.4
DPS (EUR)	0.4	0.5	0.6	0.7	0.6

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied value changes when EBITDA and the trading multiple move.

FORWARD MULTIPLES		2026
P/E		27.3×
EV/EBITDA		15.7×
EV/EBIT		20.7×
P/FCF		30.5×
P/BV		6.3×
Dividend Yield		1.4%
Net Debt / EBITDA		-1.9×

EBITDA × EV/EBITDA sensitivity					
EBIT EV/EBIT →	14.0×	16.0×	20.7×	22.0×	24.0×
-20% EUR 967m	EUR 13,538m EUR 26.10 / sh	EUR 15,472m EUR 29.40 / sh	EUR 20,017m EUR 37.10 / sh	EUR 21,274m EUR 39.20 / sh	EUR 23,208m EUR 42.50 / sh
-10% EUR 1,088m	EUR 15,232m EUR 29.00 / sh	EUR 17,408m EUR 32.70 / sh	EUR 22,522m EUR 41.40 / sh	EUR 23,936m EUR 43.80 / sh	EUR 26,112m EUR 47.50 / sh
Base EUR 1,209m	EUR 16,926m EUR 31.90 / sh	EUR 19,344m EUR 36.00 / sh	EUR 25,026m EUR 45.60 / sh	EUR 26,598m EUR 48.30 / sh	EUR 29,016m EUR 52.40 / sh
+10% EUR 1,330m	EUR 18,620m EUR 34.70 / sh	EUR 21,280m EUR 39.30 / sh	EUR 27,531m EUR 49.90 / sh	EUR 29,260m EUR 52.80 / sh	EUR 31,920m EUR 57.30 / sh
+20% EUR 1,451m	EUR 20,314m EUR 37.60 / sh	EUR 23,216m EUR 42.50 / sh	EUR 30,036m EUR 54.10 / sh	EUR 31,922m EUR 57.30 / sh	EUR 34,824m EUR 62.30 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	6,800	917	13.5%	12.0×	11,004	12,824	EUR 21.79	-39.7%
Base	7,019	918	13.1%	20.7×	19,003	20,823	EUR 35.39	-2.0%
Bull	7,500	1,043	13.9%	23.0×	23,989	25,809	EUR 43.86	+21.4%

KEY CONDITIONS

The scenarios differ almost entirely on the durability of the Energy order book and Marine services pricing power. The upside requires structural baseload data center expansion and a marine supercycle; the downside assumes an off-grid hardware cliff after 2028.

THESIS BREAKER

A data center order cliff combined with a marine shipping recession, triggering mean reversion in operating margins and multiples.

CATALYSTS

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Monitoring checklist

Near, medium and long-term events that could shift the call.

CATALYST REGISTER				
	TIMING	POOL	INDICATOR	VALUATION IMPACT
Follow-on U.S. Data Center Orders	NEAR-TERM	Wärtsilä Energy	Large block equipment orders >400MW	Validates off-grid structural demand
Marine Service Book-to-Bill Ratio	NEAR-TERM	Wärtsilä Marine	Book-to-bill >1.0	Confirms aftermarket pricing power
Conversion of Energy Equipment to LTSAs	MEDIUM-TERM	Wärtsilä Energy	Hyperscaler multi-year service agreements	Secures high-margin recurring terminal value
U.S. Tariff / FEOC Adjustments	MEDIUM-TERM	Wärtsilä Energy Storage	Relaxation of domestic content rules	Reverses profitability drag on Storage
READ - THROUGH The most critical catalyst is the conversion of Energy equipment orders into Long-Term Service Agreements (LTSAs). Headline 700MW equipment orders lift near-term revenue, but the 21x multiple depends on those engines delivering 15 years of high-margin aftermarket cash flow. If hyperscalers self-perform maintenance or use third parties, the terminal value of the Energy segment is severely damaged. The easiest metric to track is the Marine Service book-to-bill ratio. As long as it stays above 1.0, the cash-cow thesis holds. The most likely thing the market misunderstands is the regulatory friction in Energy Storage: investors may mistake low storage orders for a product failure, when the real constraint is U.S. trade policy and cell supply shortages.				

RISKS

Risk register

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Each risk's pool, mechanism, early - warning trigger, impact band and structural type.

RISK REGISTER					
	POOL	MECHANISM	EARLY WARNING	IMPACT	TYPE
Data Center Order Cliff	Wärtsilä Energy	Hyperscaler natural gas orders normalize after initial LLM capacity build.	Deceleration in U.S. energy bookings	HIGH	STRUCTURAL
Cyclical Shipping Recession	Wärtsilä Marine	Global freight slowdown forces shipowners to delay maintenance.	Marine service book-to-bill drops below 1.0	MEDIUM	THESIS-BREAKER IF COMBINED
Alternative Decarbonization Tech	Wärtsilä Energy	Small Modular Reactors or hydrogen cells replace baseload gas plants faster than expected.	Hyperscalers shift Capex to nuclear SMRs	HIGH	STRUCTURAL
Trade War / Supply Chain Isolation	Wärtsilä Energy Storage	Persistent U.S. FEOC constraints keep battery cell costs elevated.	Energy storage margin remains <7%	MEDIUM	MANAGEABLE
READ - THROUGH The biggest thesis-breaking risk is the potential obsolescence of natural gas engines in data center applications. While grid constraints currently force hyperscalers to use natural gas, tech companies are pouring money into nuclear Small Modular Reactors (SMRs) and advanced hydrogen fuel cells to meet zero-emission targets. If natural gas gets regulated out of behind-the-meter applications faster than expected, Wärtsilä Energy's primary growth vector evaporates. This risk is arguably underappreciated by a market focused on current AI capex velocity. Cyclical shipping risk is well understood and likely partly priced in. The interaction between value pools matters: the valuation requires both Marine and Energy to perform flawlessly. If a marine recession hits at the same time as a normalization of U.S. data center orders, the double compression of earnings and multiples would be devastating. Since Wärtsilä lacks asset-heavy components or complex spin-off requirements, the risk is concentrated in operating execution and order book duration.					

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
Net Sales	6,015	6,449	6,914	7,019	7,636	8,396
EBITDA	595	847	1,004	1,209	1,180	1,331
EBITDA margin	9.9%	13.1%	14.5%	17.2%	15.5%	15.9%
Depreciation	-193	-131	-178	-291	-162	-164
Operating Profit (EBIT)	402	716	826	918	1,018	1,167
EBIT margin	6.7%	11.1%	11.9%	13.1%	13.3%	13.9%
Net financial items	-38	-29	2	-6	19	20
Pre-tax Profit	364	687	828	912	1,037	1,187
Net Earnings	270	507	630	779	885	1,013
PER SHARE						
EPS	0.5	0.9	1.1	1.3	1.5	1.7
DPS	0.3	0.3	0.4	0.5	0.6	0.7
Payout ratio	56.5%	37.2%	41.1%	39.5%	39.5%	39.5%

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
ASSETS						
Tangible assets	562	556	558	580	631	694
Intangibles	402	446	413	419	456	502
Goodwill	1,273	1,299	1,214	1,214	1,214	1,214
Non-current assets	2,339	2,406	2,495	2,523	2,611	2,719
Inventories	1,485	1,380	1,440	1,476	1,606	1,765
Receivables	1,948	2,176	1,793	1,891	2,057	2,262
Cash & equivalents	819	1,554	2,590	2,301	2,503	2,752
Current assets	4,252	5,110	5,823	5,668	6,175	6,810
Total Assets	6,803	7,694	8,474	8,347	8,942	9,686
EQUITY & LIABILITIES						
Equity	2,233	2,531	2,883	3,403	3,980	4,644
Long-term debt	515	409	503	24	—	—
Short-term debt	76	99	38	24	0	0
Long-term liabilities	788	727	1,097	618	594	594
Current liabilities	3,445	4,121	4,202	4,263	4,305	4,385
Total liabilities & equity	6,803	7,694	8,474	8,347	8,942	9,686
CAPITAL STRUCTURE & RATIOS						
Net debt	40	-788	-1,820	-2,253	-2,512	-2,783
Capital invested	2,005	1,485	834	1,150	1,468	1,861
Equity ratio	32.8%	32.9%	34.0%	40.8%	44.5%	47.9%
Gearing	1.8%	-31.1%	-63.1%	-66.2%	-63.1%	-59.9%
Net debt / FRITDA	0.1x	-0.9x	-1.8x	-1.9x	-2.1x	-2.1x

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
OPERATIONS						
CF from operations	737	1,168	1,272	1,012	817	893
Operating cash flow	751	1,214	1,295	1,017	800	876
Change in working capital	-275	-530	-465	58	231	284
INVESTING & FREE CASH						
Gross capex	171	198	267	319	250	272
Capex (ex. M&A)	-171	-198	-267	-319	-250	-272
Free Operating Cash Flow	657	1,061	1,304	697	551	604
Free cash flow to firm	658	1,061	1,304	697	551	604
FINANCING						
CF from financing	-197	-257	2	-981	-356	-350
Dividends paid	-142	-152	-189	-259	-308	-350
Net change in cash	369	713	1,007	-289	211	271

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APPENDIX

Quarterly snapshot

LAST FOUR QUARTERS — EUR MILLIONS				
	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	1,560	1,719	1,632	2,002
EBITDA	206	251	303	287
EBITDA margin	13.2%	14.6%	18.6%	14.3%
Comparable EBIT	165	186	261	257
EBIT margin	10.6%	10.8%	16.0%	12.8%
Net Earnings	123	137	182	187
EPS	0.2	0.2	0.3	0.3

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
36.12	36.12	MARKET DATA	Cover Page, Recommendation
20.74x	20.74x EV/EBIT	MODEL OUTPUT	Executive Summary, Reality Check
EUR 918 million	918	ANALYST-GENERATED ESTIMATE	Value Pool Breakdown, Scenarios
EUR 10.08 billion	10080	COMPANY VALUE MAP	Value Pools, Valuation Reality Check
EUR 19,039 million EV	19039	COMPANY VALUE MAP	Equity Bridge, Scenario Valuation
912 Pre-tax profit 2026	912	CONSENSUS ESTIMATES	Consensus Table
-2,253 Net Debt	-2253	ANALYST-GENERATED ESTIMATE	Equity Bridge, Valuation Check
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